

fintech innovations, and India's strong economic trajectory further support this growth," says Himanshu Kohli, Co-founder, Client Associates, a Gurgaon-based wealth management firm. "The SIP boom is likely to continue as Indian investors are increasingly shifting from traditional savings to financial assets. SIPs help investors navigate volatility, making them more attractive during uncertain times," says Rajul Kothari, Partner, Capital League, a Gurgaon-based boutique wealth management firm. While short-term market dips may impact sentiment, the structural trend of SIP adoption remains strong, driven by long-term wealth-building aspirations, says Kothari.

## WHERE TO INVEST?

The market volatility has left investors wondering where to invest. Equity mutual funds have given a negative return of 13% over the last six months, following which net inflows have plunged by 26%, from ₹39,688 crore in January to ₹29,303.34 crore in February 2025.

"Investors should focus on asset allocation, stay invested through cycles, and avoid making emotional decisions based on short-term movements. SIPs remain one of the best ways to navigate volatility and build long-term wealth. A tilt towards large-cap funds in the current environment can provide stability while allowing for a potential upside as the sentiment improves," says Kothari.

Moreover, investors should assess their risk tolerance before making any decisions. If it's low, they can invest in a mix of equity and debt. "A combination of equity balanced by debt is more stable and tax-efficient compared to pure equity in times like these. Balanced Advantage, Equity Savings and Multi-asset funds (which have exposure to gold also) should be preferred," says Kothari.

Balasubramanian agrees. "Multi-asset allocation funds invest across assets, including gold and silver, which diversifies risk. A combination of equity and fixed income can be ideal for investors seeking long-term wealth creation," he says. That is perhaps why multi-asset allocation funds saw an uptick in inflows, ₹2,228 crore in February compared to ₹2,123 crore in January. This indicates that

many first-time investors are opting for a diversified approach instead of committing entirely to conventional equity schemes.

Multi-asset funds invest across various asset classes such as equities, debt, and commodities to enhance diversification. Balanced advantage funds, also called dynamic asset allocation funds, actively shift their allocation between equity and debt in response to market conditions, aiming to optimise risk and returns.

"Robust fundamentals combined with high valuations make a compelling case for investing in hybrid category funds. Also in equities, large-cap funds are favoured over mid and small-cap schemes due to their relatively attractive valuations and the potential resurgence of foreign portfolio investments, which could drive outperformance," says Kohli.

D. P. Singh of SBI Mutual Fund also advocates a diversified approach. "Multi-cap funds are one of the best options now. If someone wants to take a cautious approach, multi-asset allocation funds are a suitable choice. Multi-

cap funds collected ₹2,518 crore in February, down from ₹3,567 crore in the previous month. "Multi-cap is the best category as it does not include one cap. It can be large, mid or small. The fund managers can go wherever they want to," he says.

Not to mention the role of gold when it comes to diversification and minimising risk concentration. "5-10% of every portfolio should be gold, through gold mutual funds, as the current rally will continue

to be driven by global central bankers. The position can be built in a staggered manner," says Kothari.

SIPs have long been a preferred investment route in India. They are ready to catch on further considering SBI Mutual Fund recently started a SIP of ₹250 on daily, weekly or monthly basis in its SBI Balanced Advantage Fund to reach the remotest parts of the country.

Whether SIPs continue to dominate or see a slow-down will depend on investor resilience in the face of volatility. History suggests that those who stay invested through downturns reap handsome rewards when the market rebounds. **BT**



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